

cover story **CARS**

Ratan's Revo



■ By Shankkar Aiyar

It was an unlikely venue for the launch of a revolution. The gleaming lights, the massive stage, the smell of freshly minted cars, leggy lasses, popping flashbulbs, video cameras, cables feeding the stage seemed set for a rock concert. As Ratan Tata stepped onscreen via a 3-D hologram in a virtual cameo to narrate the journey of man's romance with mobility, he looked every bit the rock star, even if in formals. A minute later, when Tata, in real flesh and blood, drove on to the stage to a standing ovation, it was clear that Indian innovation had shifted

to a higher orbit on January 10. The 624cc four-seater Tata Nano promises to herald a revolution that will change the way India moves.

Priced at \$2,500 or Rs 1 lakh at the dealer end, the car is the cheapest four-wheeler in the world. The next cheapest car would be the Chinese QQ3, which costs \$5,000 (Rs 2 lakh). Indexed for consumer price inflation, the Nano is less than half the price of the 1983 Maruti 800, which was Rs 48,000. A quick, back-of-the-envelope indexation for inflation shows that if the Maruti 800 had been launched today, it would have been priced at Rs 2,67,000. Consider the arithmetic of the proposition. At a rate of interest of around 12 per cent, the EMI or equated monthly

instalment for the Nano could range between Rs 2,200 per month for a five-year loan and a little over Rs 3,200 for a three-year loan. At over 20 km per litre of petrol, the car would have an operating cost of Rs 2.5 per km, which is well worth the safety of travelling on four wheels and the pride of personal mobility.

And you don't have to be a rocket scientist to figure out the potential. Growing at 9 per cent, India's GDP is over a trillion dollars (Rs 40 lakh crore), delivering an average per capita income of \$1,000 (Rs 40,000). The launch of the Nano is timed to perfection. Consider the synchronisation with the emergence of India as a manufacturing centre that helped